Kia Corp (000270 KS)

3Q26 review: seeing beyond hard times

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3Q26 OP of W1.8tn; incentives the main drag

Forex movements had a negative QoQ impact of W533.0bn, which we believe was offset by a sharp decline in warranty expenses to W620.0bn (-W925.0bn QoQ), driven by the lower quarter-end exchange rate. Higher incentive spending weighed on OP by W606.0bn, largely due to dealer incentives for EV2 sales in Europe.

External headwinds beyond management control; EV strategy prioritizes long-term growth

Aside from external headwinds such as the prolonged Middle East conflict and won appreciation, the key near-term operational challenge is the expected continuation of BEV incentives. Kia is prioritizing securing a stronger position in the global BEV market in the medium to long term over near-term company-wide profitability.

Forex headwinds to take full effect in 4Q26

In contrast to 3Q26, the average exchange rate (QTD: W1,338/$) is expected to decline more sharply QoQ than the quarter-end rate, bringing forex-related earnings pressure into full effect. In other words, a normalization of warranty expenses (a QoQ rebound) could further weigh on profitability. Vehicle sales volumes, meanwhile, likely remained relatively resilient versus competitors in 2Q-3Q26.

Maintain BUY; lower target price to W129,000

We lower our target price to W129,000 as we roll over our valuation base to 2027, reduce our 2027E automotive NOPAT forecast, and reflect a decline in the value of the company's stake in Hyundai Mobis. The argument that valuations have bottomed-out becomes less compelling given the projected YoY decline in 2027E EPS. Whether a valuation premium can be assigned to a stronger medium- to long-term BEV market position depends on the pace of global vehicle electrification. Potential share-price catalysts include: 1) easing external headwinds; 2) improved product competitiveness through new model launches; 3) a gradual reduction in incentives after BEV market share gains; and 4) strategic business decisions supported by approximately W20tn in net cash.

BUY (M)

Target price	W129,000 (Down)
Previous target price	W190,000
Current price (Oct 29)	W108,300
Upside potential	19%

Market cap (Wbn)	42,282
Shares outstanding	390,412,998
Avg daily T/O (2M, Wbn)	95
Avg daily volume (2M, shrs)	776,434
52-week high/low (won)	206,000 / 105,100
Foreign ownership (%)	39.05%
Dividend yield (%)	0.00%
Major shareholders	Hyundai Motor & others

Stock performance

(%)	1M	3M	12M
Absolute	(6.6)	(10.0)	(6.5)
Relative	8.0	(14.2)	(35.7)
Abs (US$)	(5.2)	(2.7)	0.2

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Sales	31,597	10.1	-4.4	31,964	-1.1
OP	1,818	24.3	-30.8	2,357	-22.9
Pre-tax net profit	2,149	13.9	-30.0	2,750	-21.9
Net profit, CI	1,727	21.2	-25.8	1,996	-13.5
OPM (%)	5.8	+0.7 %pt	-2.2 %pt	7.4	-1.6 %pt
NPM (%)	5.5	+0.5 %pt	-1.5 %pt	6.2	-0.7 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	107,449	114,141	125,980	126,349
OP	12,667	9,078	8,022	6,965
Net profit, CI	9,773	7,561	6,638	5,888
P/E (x)	4.4	5.1	6.4	7.2
P/B (x)	0.8	0.6	0.6	0.6
EV/EBITDA (x)	1.6	1.6	1.8	2.1
ROE (%)	19.1	12.9	10.2	8.3

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Kia Corp: quarterly and annual earnings estimates

(Wbn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E	2027E
Sales	28,018	29,350	28,686	28,088	29,502	33,037	31,597	31,844	114,141	125,980	126,349
COGS	21,937	23,474	23,277	22,945	23,698	26,994	26,583	27,051	91,633	104,326	105,459
Gross profit	6,081	5,875	5,409	5,143	5,804	6,043	5,014	4,793	22,508	21,654	20,890
Gross margin	21.7%	20.0%	18.9%	18.3%	19.7%	18.3%	15.9%	15.1%	19.7%	17.2%	16.5%
SG&A exp	3,072	3,111	3,947	3,300	3,599	3,414	3,196	3,423	13,430	13,632	13,924
OP	3,009	2,765	1,462	1,843	2,205	2,629	1,818	1,370	9,078	8,022	6,965
OPM	10.7%	9.4%	5.1%	6.6%	7.5%	8.0%	5.8%	4.3%	8.0%	6.4%	5.5%

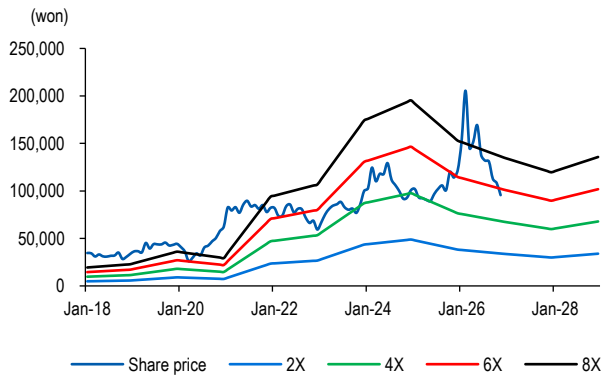
Source: DART, Yuanta Securities

Kia Corp: target price and valuation

	2027E
Auto NOPAT (Wbn)	5,224
Target P/E	9
Market cap of its Hyundai Mobis shares (Wbn)	5,402
Discount	30%
Fair market cap (Wbn)	50,797
Common shares issued ('000 shares)	393,789
Target price	129,000

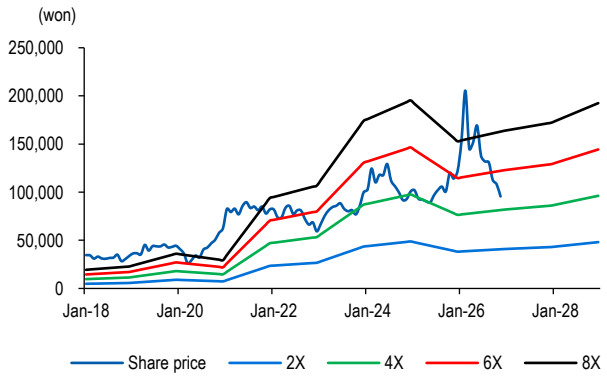
Source: Yuanta Securities

Valuation may appear near a trough based on consensus P/E bands…



Source: FnGuide Quantiwise, Yuanta Securities

..but caution warranted given projected YoY decline in 2027E EPS



Source: Yuanta Securities

Kia Corp (000270 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**107,449**	**114,141**	**125,980**	**126,349**	**129,345**
Cost of sales	82,678	91,633	104,326	105,459	107,128
Gross profit	24,771	22,508	21,654	20,890	22,217
SG&A	12,104	13,430	13,632	13,924	14,078
Operating profit	**12,667**	**9,078**	**8,022**	**6,965**	**8,139**
EBITDA	15,216	11,792	11,214	9,667	10,841
Non-operating profit	833	1,163	1,064	1,093	1,000
Forex gains	32	-98	-121	-130	-301
Net interest income	918	874	989	1,037	1,116
Equity-method gains	395	415	415	415	415
Other	-513	-28	-219	-229	-229
Net prof before income tax	13,500	10,241	9,085	8,058	9,139
Income tax	3,725	2,687	2,453	2,176	2,468
Net profit from continuing ops	9,775	7,554	6,632	5,883	6,673
Net profit from discontinued ops	0	0	0	0	1
Net profit	9,775	7,554	6,632	5,883	6,674
NP for controlling interest	**9,773**	**7,561**	**6,638**	**5,888**	**6,680**
Total comprehensive income	11,811	8,391	7,469	6,720	7,512
Total comprehensive income, CI	11,808	8,398	7,475	6,725	7,517

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**41,797**	**44,426**	**48,754**	**48,412**	**50,745**
Cash & cash equivalents	13,567	13,998	16,888	17,044	12,767
Accounts receivables & other	6,842	6,963	7,613	7,635	7,816
Inventory	12,419	14,666	16,187	16,235	16,620
Non-current assets	50,958	54,553	58,004	61,807	64,070
Tangible assets	17,928	19,934	20,444	21,544	22,645
Investment in affiliates	23,858	25,238	27,761	30,260	31,168
Other investment assets	3,365	2,912	3,130	3,137	3,192
Total assets	**92,756**	**98,979**	**106,757**	**110,219**	**114,815**
Current liabilities	26,977	28,378	28,689	28,187	28,219
Accounts payable & other	17,275	18,982	18,459	17,932	17,753
ST financial liabilities	221	211	211	211	211
Liquid LT liabilities	838	1,154	1,154	1,154	1,154
Non-current liabilities	9,938	9,410	9,409	8,982	8,753
LT financial liabilities	0	0	0	0	0
Debentures	2,176	979	479	79	-322
Total liabilities	**36,916**	**37,789**	**38,098**	**37,169**	**36,972**
Equity, controlling interest	55,831	61,188	68,663	73,058	77,857
Paid-in capital	2,139	2,139	2,139	2,139	2,139
Capital surplus	1,760	1,771	1,771	1,771	1,771
Retained earnings	50,241	54,520	61,158	64,716	68,678
Equity, non-controlling interest	9	3	-3	-9	-15
Total equity	**55,840**	**61,190**	**68,660**	**73,049**	**77,843**
Net debt	**-18,427**	**-19,484**	**-22,075**	**-22,061**	**-24,213**
Total debt	3,639	2,752	2,259	1,860	1,460

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**12,564**	**9,054**	**8,460**	**8,955**	**9,567**
Net profit	9,775	7,554	6,632	5,883	6,674
Depreciation & amortization	2,010	2,070	2,390	1,900	1,900
Forex gains	186	192	121	130	301
Affiliate investment gains	0	0	-415	-415	-415
Increase in net working cap	-4,287	-4,328	-5,003	-3,277	-3,588
Other	4,881	3,565	4,734	4,734	4,695
Investing cash flow	**-10,153**	**-4,960**	**-5,851**	**-5,935**	**-10,995**
Investment	-2,538	-1,290	-2,742	-2,505	-963
Increase in tangible assets	-3,485	-3,765	-3,400	-3,500	-3,502
Decrease in tangible assets	62	172	500	500	501
Other	-4,191	-76	-208	-430	-7,031
Financing cash flow	**-3,570**	**-4,175**	**-1,933**	**-4,170**	**-4,558**
ST financial liabilities	98	-29	7	0	2
Debenture/LT financial liabilities	-623	-858	-500	-400	-401
Equity	2	11	0	0	0
Cash dividend	-2,194	-2,559	0	-2,330	-2,718
Other cash flow	-853	-740	-1,440	-1,440	-1,440
Consolidation adj and other	372	513	2,213	1,306	1,708
Increase in cash & equivalents	**-787**	**432**	**2,890**	**156**	**-4,278**
Beginning cash & equivalents	14,353	13,567	13,998	16,888	17,044
Ending cash & equivalents	13,567	13,998	16,888	17,044	12,767
NOPLAT	12,667	9,078	**8,022**	**6,965**	**8,139**
FCF	**9,079**	**5,290**	**5,060**	**5,455**	**6,065**

Valuation

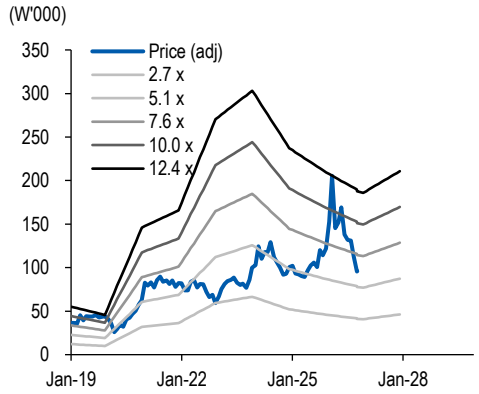
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	24,413	19,089	16,857	14,952	16,965
BPS (won)	141,812	157,557	176,806	188,123	200,480
EBITDA/shr (won)	38,011	29,771	28,477	24,549	27,529
SPS (won)	268,412	288,163	319,916	320,854	328,462
DPS (won)	6,500	0	6,000	7,000	7,000
P/E (x)	**4.4**	**5.1**	**6.4**	**7.2**	**6.4**
P/B (x)	**0.8**	**0.6**	**0.6**	**0.6**	**0.5**
EV/EBITDA (x)	**1.6**	**1.6**	**1.8**	**2.1**	**1.7**
P/S (x)	**0.4**	**0.3**	**0.3**	**0.3**	**0.3**

Key financial data

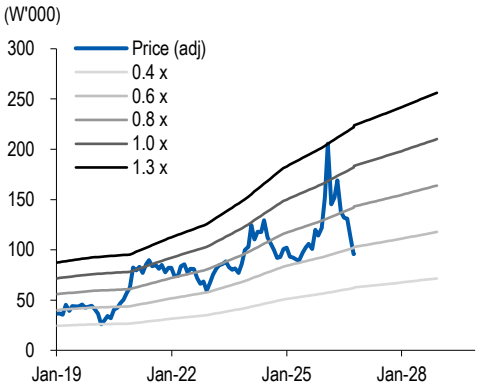
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**7.7**	**6.2**	**10.4**	**0.3**	**2.4**
Operating profit (%YoY)	**9.1**	**-28.3**	**-11.6**	**-13.2**	**16.8**
Net profit, CI (%YoY)	**11.3**	**-22.6**	**-12.2**	**-11.3**	**13.5**
Gross margin (%)	23.1	19.7	17.2	16.5	17.2
Operating margin (%)	**11.8**	**8.0**	**6.4**	**5.5**	**6.3**
Net margin, CI (%)	9.1	6.6	5.3	4.7	5.2
EBITDA margin (%)	14.2	10.3	8.9	7.7	8.4
ROIC (%)	66.6	37.3	28.3	21.6	23.6
ROA (%)	11.3	7.9	6.5	5.4	5.9
ROE (%)	**19.1**	**12.9**	**10.2**	**8.3**	**8.9**
Debt-to-equity (%)	66.1	61.8	55.5	50.9	47.5
Net debt-to-equity (%)	-33.0	-31.8	-32.1	-30.2	-31.1
OP/financing cost (x)	124.8	120.8	136.1	143.8	8,138.5

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

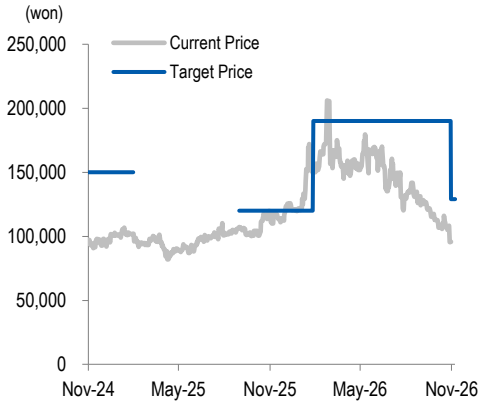
P/E band chart



P/B band chart



Kia Corp (000270 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/11/02	BUY	129,000	1 yr		
2026/01/29	BUY	190,000	1 yr	-23.52	8.42
2025/09/02	HOLD	120,000	1 yr	-0.95	43.42
2025/02/03	BUY	150,000	1 yr	-35.99	-26.40
	Analyst changed				
2024/04/29	BUY	150,000	1 yr	-28.77	-11.80

Note: Difference = (actual price* - target price) / target price x 100

* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested

Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Nov 03, 2026

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  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
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  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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